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ADVANCING SUSTAINABILITY IN AGRICULTURE: IMPROVING LDC AGRICULTURAL EXPORT PERFORMANCE



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ADVANCING SUSTAINABILITY IN AGRICULTURE: IMPROVING LDC AGRICULTURAL EXPORT PERFORMANCE

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SUMMARY

Agriculture is essential to the economies of most of the world's least-developed countries (LDCs). However, the export potential of the sector has not yet been fully realised, and sustainability challenges in agriculture and LDC food systems remain to be addressed. Sustainable export-led development would increase export volumes and values while creating inclusive growth opportunities, reduce undernourishment and volatility in food supplies, and support mitigating environmental impacts and adaptation to climate change in farming and agricultural value chains.

Domestic and external factors keep LDC agricultural exports relatively low, despite schemes offering better terms of market access and the interventions of trade-related technical assistance programmes. Domestic constraints to investment and support for agriculture lead to low labour and land productivity levels. Externally, some non-tariff measures make it challenging for LDC exporters to reach high-potential markets, while domestic support provided in other countries can distort international markets for LDC export products.

Even without significant progress on major multilateral trade issues, the WTO and other fora provide a platform for addressing issues of concern to LDCs, such as food security. In addition, regional trade agreements (RTAs) can also help to solve some of the external challenges faced by LDCs. For example, many RTAs include special arrangements for LDCs on agricultural trade and food security. In particular, the African Continental Free Trade Area (AFCFTA) has the potential to benefit many African LDCs. However, limitations in liberalisation and delays in implementation remain challenges to the agreement's success.

There is also a need for more significant assistance targeting sustainable agriculture in addressing domestic constraints to competitiveness and sustainability. Increased aid to agricultural development – through technical assistance, capacity

building and trade-related technical assistance – could make a difference in meeting developed countries' targets for official development assistance, as stated in the Sustainable Development Goals (Target 17.2).

Domestic reform and international cooperation can support improvements to LDC quality management systems by strengthening institutions and farmer capacities. Support for compliance with voluntary standards is particularly encouraging for expanding LDCs' opportunities for market diversification and increased export income. However, a comprehensive perspective is needed since quality, traceability, and marketing are connected and mutually dependent. Support should be designed considering the needs of countries following LDC graduation. Transitional arrangements are needed to assist countries losing access to special arrangements.

INTRODUCTION

The sustainable development of agriculture is of significant concern to the world's 46 least-developed countries (Table 1).¹ The economies of these countries tend to be highly agricultural. The contribution of agriculture to their GDP exceeds the global average. Although the share of LDC employment in agriculture has been declining for several decades, it still accounts for more than half of total employment in these countries.²

The significant reliance on agriculture makes it important to develop the sector and ensure food systems in LDCs are sustainable, meaning that the economic, social and environmental capacities to feed future generations are not threatened. As such, enhancing sustainability in agriculture would support inclusive economic growth, nutrition and food security, mitigation of environmental impacts and adaptation to climate change in LDCs. Trade can also contribute to these goals, but least developed countries have yet to realise their potential as agricultural exporters. Moreover, while special arrangements in multilateral trade

Table 1. List of least developed countries by region

Sub-Saharan Africa	• Angola • Benin • Burkina Faso* • Burundi* • Central African Republic* • Chad • Comoros** • Democratic Republic of the Congo	• Eritrea • Ethiopia* • The Gambia • Guinea • Guinea-Bissau** • Lesotho* • Liberia • Madagascar • Malawi* • Mali* • Mauritania	• Mozambique • Niger* • Rwanda* • Sao Tome and Principe** • Senegal • Sierra Leone • Somalia • South Sudan* • Sudan • Togo	• Uganda* • United Republic of Tanzania • Zambia*
East Asia and Pacific	• Cambodia • Kiribati**	• Myanmar • Solomon Islands**	• Timor-Leste** • Tuvalu**	• Lao People's Democratic Republic*
South Asia	• Afghanistan*	• Bangladesh	• Bhutan	• Nepal
Middle East and North Africa	• Djibouti • Yemen			
Latin America and the Caribbean	• Haiti**			

Note: * Also landlocked. ** Also, a Small Island Developing State (SIDS).

Source: **UNCTAD**. *UN List of Least Developed Countries*. Geneva. Cited 27 September 2022. <https://unctad.org/topic/least-developed-countries/list>

rules and trade-related technical assistance programmes from the WTO and other organisations help to mitigate some of the challenges faced by LDCs, limited domestic competitiveness and external constraints hinder trade in agricultural goods.

Multiple approaches will be needed for LDC agricultural exports to drive sustainable development. In the absence of new multilateral trade rules, regional trade agreements can effectively change the external environment faced by LDCs. Increased assistance to LDCs, as called for in SDG target 17.2, could contribute to increased productivity and sustainability in agriculture, including supporting domestic reforms.

SUSTAINABLE DEVELOPMENT OF LDC AGRICULTURE

It will take more than increasing export to drive the sustainable development of LDC agriculture. However, trade-led growth has the potential to support sustainable development where opportunities for inclusive income growth are realised, and nutrition for the poor, as well as conditions of other vulnerable groups, are improved. Also, the negative impacts of the agricultural sector on the environment are minimised as it prepares to cope with climate change. Therefore, Leveraging the success of agricultural export may provide opportunities for diversification to avoid overdependence on trade in commodities.



Picture 1: photo by ©iStock/ H M Shahidul Islam. A farmer couple prepares land for growing vegetables. 2022

Inclusive economic growth

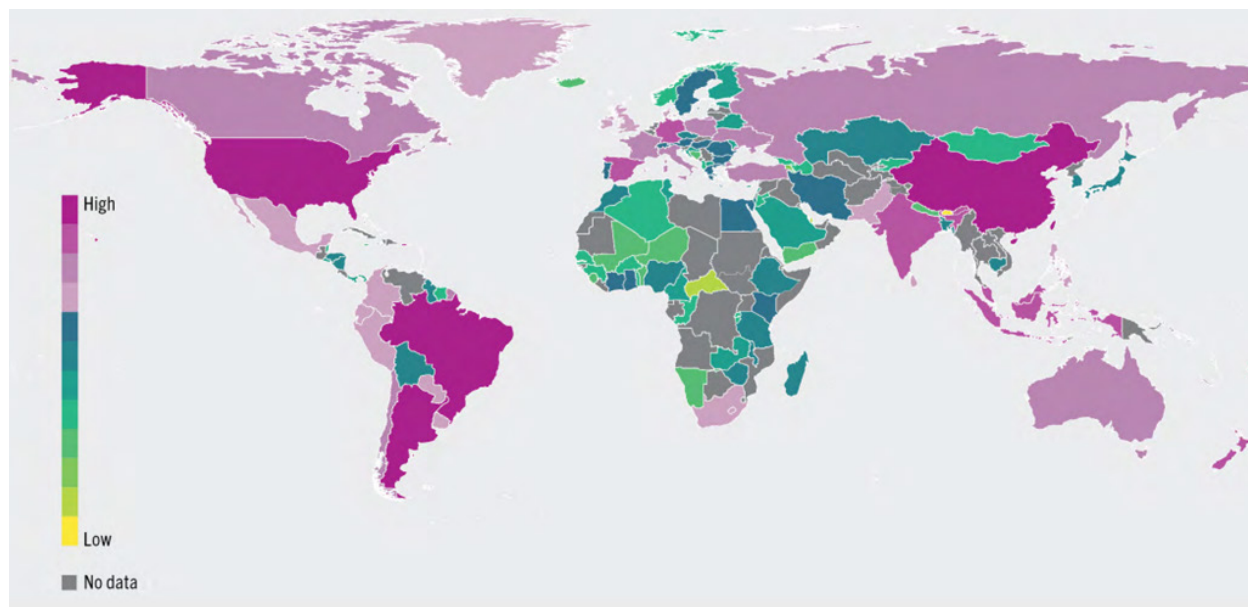
As noted above, agriculture tends to be particularly important to the economies of LDCs. As a result, expanding exporting can also contribute to economic growth in these countries. Besides, the development of agriculture and agricultural value chains likewise supports inclusive growth by creating opportunities for rural populations, especially women in LDCs.

The potential of trade contribution to LDC growth and development is recognised in SDG Target 17.11, which calls for a doubling of LDC exports to contribute to faster economic growth and structural transformation in these countries.³ Agricultural products will inevitably play a central role in expanding trade to achieve this goal. Most LDCs have a strong comparative advantage in agriculture, and as a result, agricultural products tend to play a bigger role in LDC total exporting than in other

countries; in 2021, these products accounted for an average of 12.0% of total exports in LDCs, exceeding the global average of 8.5%.

While agriculture is a promising driver of trade-led growth for many least-developed countries, its full potential remains unrealised due to constraints hindering its productivity and competitiveness in international markets (Figure 1). In addition to growing agricultural exports, least developed countries have the opportunity to increase the quantity of their exports by improving the quality of products to add value. However, underdeveloped packaging and processing industries mean that many LDC exporters do not sell beyond unprocessed commodities in international markets. And while producers are central to quality improvements, they depend on effective quality management systems for sorting and tracking, testing and certification, and branding and marketing.

Figure 1. Country competitiveness in the global food and agricultural market, 2018



Source: Kozłowska, M.K., Rapsomanikis, G. & Zimmermann, A. 2022. Comparative advantage and trade costs in a Ricardian model of global food and agricultural trade. Background paper for The State of Agricultural Commodity Markets 2022. Rome, FAO. Conforms to Map No. 4170 Rev. 19 United Nations (October 2020).

In addition, meeting mandatory standards and increasing compliance with voluntary standards would help LDC producers to improve productivity and sustainability, reach new markets, and charge premiums for their products. Such standards cover various topics, including certifying reduced environmental impacts, labour and human rights protection, and fair payment of farmers. These are increasingly standard requirements demanded by buyers looking to assure consumers of the responsible management of their supply chains. However, the capacities of farms and support institutions in LDCs determine meeting the standard requirements of many buyers.

Farming benefits the poor people in rural regions, particularly women, and export-driven economic growth through agriculture can support inclusive growth. As the economic foundation of many rural regions, where close to two-thirds of LDC populations live, it typically contributes significantly to rural development. These regions tend to have lower average incomes and a disproportionate share of households in extreme poverty. Agriculture

is also essential to women's livelihoods; it accounts for an estimated 60.7% of total female employment (compared with 51.2% of total male employment) in these countries.⁴ Realising new opportunities for women requires consideration of their access to land, finance, and support systems. Support for vulnerable groups is needed at the same time to realise the benefits of trade, which can threaten lower-productivity producers in import-competing sectors and where increased competitive pressures raise the risks of violating core labour standards.⁵

Nutrition and food security

Agriculture and food systems are sustainable factors contributing to social development goals such as improved health outcomes through food security and nutrition. However, while improvements have been made with reductions in global poverty, these goals remain central to the development concerns of low-income economies. For example, in 2019-21, 22.9% LDCs population was malnourished, at a rate two and a half times that of the world.⁶



Picture 2: photo by ©iStock/master2. Ripe fruits in a local market in Nairobi. 2014

Nutrition and food security in LDCs have become more complex as population growth has exceeded improvements in agricultural output, leading most of these countries from net agricultural exporters to net importers.⁷ The situation of least developed countries has raised concerns at the WTO about the relationship between trade and food security. Most of these issues remained unsolved, although the outcomes of MC12 on agriculture included a Ministerial Decision on the WFP exemption, along with a Ministerial Declaration on food insecurity which includes a commitment to have a dedicated work programme in the Committee on Agriculture to examine how to make the *Marrakesh Decision on Measures Concerning the Possible Negative Effects of the Reform Programme on Least-Developed and Net Food-Importing Developing Countries* more effective and operational.⁸

Environmental mitigation and adaptation

The environmental dimension of agricultural sustainability in many least-developed countries is challenged by the sector's considerable environmental impacts and its particular exposure to risks arising from climate change. Advancing sustainability in these countries while pursuing trade-led growth will therefore require that additional efforts be made on both mitigation and adaptation.

Agriculture is a significant contributor to greenhouse gas emissions, accounting for 17 per cent of global emissions in 2018.⁹ Priorities to mitigate climate impacts from LDC farming may include investing in productivity, enhancements that increase yields to increase output from existing farmland, and adopting new inputs and practices in animal farming. At the same time, improving

extension services with training on sustainability and strengthening value chains by improving storage and transportation to reduce post-harvest losses.

Indeed, the emissions intensity of farming in least-developed countries is often quite high compared to the rest of the world. For example, emissions per kilogram of output in LDCs exceed global averages by 15% or more in many cases of high emissions in meat and milk product categories (Figure 2). By activity, however, deforestation for the expansion of agricultural land is the greatest contributor to greenhouse gas emissions in LDCs, having produced 1.1 billion tons of CO₂ equivalent emissions in 2019.¹⁰

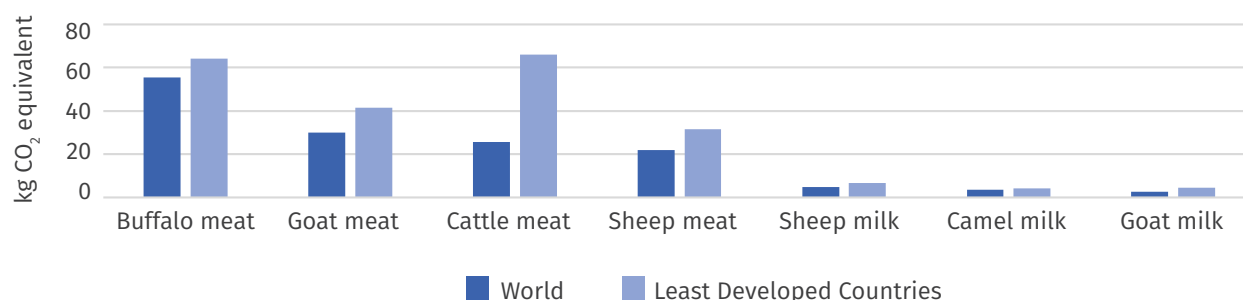
At the local level, agricultural pollution of air and water from fertiliser and pesticide use, salts, sediment, organic matter, pathogens, and other sources can affect human health, biodiversity, and the productive potential of farmland and fisheries.¹¹ These issues will need to be addressed as export production expands and dietary preferences within LDCs change. Given the potential impact of animal farming, the increase in meat consumption alongside income growth in these countries can be expected to be particularly relevant. Between just 2010 and 2019, the domestic supply of meat per person in least-developed countries grew by 14.1%, above the global average of 3.9%.¹²

Addressing the environmental impacts of farming and agricultural supply chains has the further benefit of improving LDC export prospects. The application of requirements on businesses to monitor and enforce sustainability rules across global supply chains and the use of voluntary sustainability standards are increasing in many high-potential markets. Producers that can certify their compliance with these rules benefit from access to a broader range of markets and higher prices for their products.

At the same time, agriculture in the least developed countries is especially vulnerable to climate risks due to geographical factors, limited resources to invest in adaptation and large population shares dependent on agriculture for their livelihoods. LDCs are already highly exposed to extreme weather risks; over the five years from 2017-21, LDCs were affected by 338 climatological, hydrological, and meteorological disasters – 19.4% of the total number of these events worldwide in this period.¹³

Increasing exposure to gradual change and natural disasters is expected to challenge LDC agriculture in future. It has been estimated that the agricultural output of LDCs will decline considerably by the 2080s despite increasing agricultural employment, with the strongest declines in African LDCs.¹⁴ Enhancing food security and developing agriculture as an economic opportunity requires investment

Figure 2. Emissions per kilogram produced of selected agricultural goods, 2017



Source: **FAO**. FAOSTAT. Geneva. Cited 27 September 2022. <https://www.fao.org/faostat>

in adaptation. This is recognised in Articles 4.8 and 4.9 of the United Nations Framework Convention on Climate Change (UNFCCC), which address cooperation on minimising the effects of climate change in LDCs. Investment in resilient infrastructure, the adoption of suitable crops and improved seed varieties, and improved training and information on risks for farmers will be needed as part of the sector's adaptation. The flexibility of trade also improves the adaptability of food supplies to pests and diseases, disasters, and other short-term environmental shocks.¹⁵

TRADE TRENDS AND CONSTRAINTS FACING LDC AGRICULTURE

The least developed countries have not realised the potential of agricultural trade. Despite supportive initiatives, their exports are held back by limitations in their productive capacities and external factors that affect market access and price competitiveness in international markets.

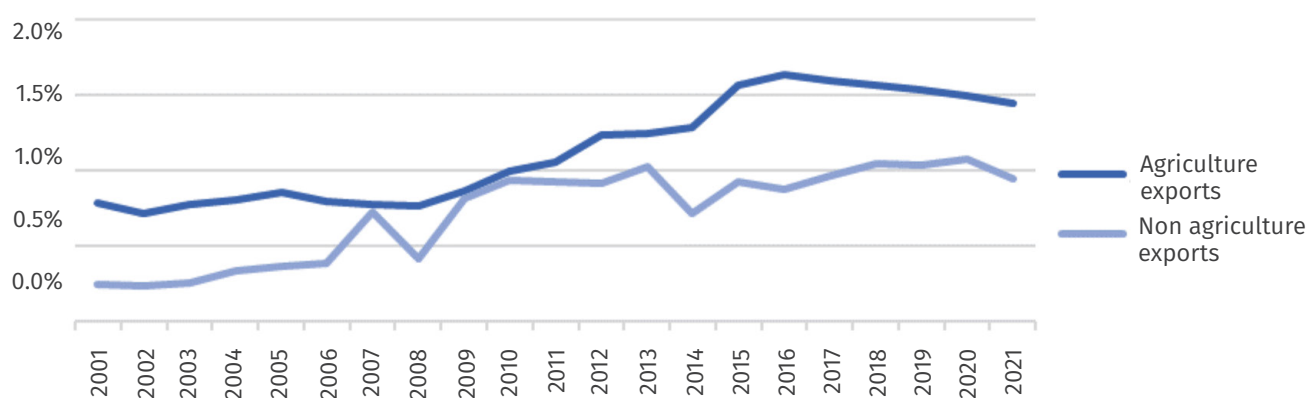
While agriculture is highly important in many developing economies and many lower-income exporters have comparative advantages in exporting agricultural products, least-developed countries appear to underperform in global markets. LDC agriculture exports were worth USD 27.4 billion – or 1.4% of global agriculture exports –

in 2021, declining in importance relative to total global agricultural trade since reaching a peak in 2016 (Figure 3). While this exceeds the LDC share of global non-agricultural exports, it is significantly less than the LDC share of global value added in the sector. Coffee is the most important agricultural export product of LDCs, accounting for the greatest share of LDC global trade; they exported USD 2.3 billion in coffee in 2021, representing 6.2% of global exports.

As a result of limited specialisation and value addition through processing, LDCs' agricultural exports are also less sophisticated than the global average,¹⁶ since a large share of exported products from these countries are unprocessed. While processed goods represented approximately 41% of global agricultural exports in 2009-12, they were just 26% of LDCs' agricultural exports.¹⁷ This leaves the untapped potential for domestic value addition, income generation, and employment creation in food and beverage manufacturing and other related activities. Involvement in global value chains for agricultural products is also limited. Instead, these countries intend to focus on production and other early stages of value chains.

This is partly a result of tariff escalation, the increased tariffs applied to processed agricultural

Figure 3. LDC exports as a share of global totals, 2001-21



Source: ITC. *Trade Map*. Geneva. Cited 27 September 2022. <https://www.trademap.org>

Note: Agricultural goods refers to products in HS chapters 01 to 24.



Picture 3: photo by ©iStock/golero. Banana truck in Zanzibar. 2019

products. Farmers also lack the capacity to distinguish the quality or characteristics of their products, which depresses prices.¹⁸

It is worth noting, however, the significant diversity in the importance of agriculture among LDCs. In 2019, agriculture represented just 7% of the total value added in Angola, but 66% of the value added in Liberia.¹⁹ The importance of agriculture in total exports varies considerably between these countries. And while coffee is the most important LDC export product, this is the result of the trade from a small number of producers. Coffee exports account for at least one per cent of exports in only about a fifth of LDCs.

Special arrangements and trade-related technical assistance

The least developed countries that are WTO members are treated differently from other members in several respects to facilitate their participation in

global trade.²⁰ This includes concessions for least developed countries that are related specifically to agricultural trade. Under the Agreement on Agriculture, LDC member states were exempted from undertaking reduction commitments on the three main pillars of the Agreement: market access, domestic support and export competition. Least developed countries can also report to the WTO less frequently on their use of domestic support. Under the Ministerial Decision on Export Competition agreed to in Nairobi in 2015, LDCs were granted a longer timeline for removing certain export subsidies, offered additional special and differential treatment not afforded to other developing country member states, and they are allowed to benefit from the monetisation of international food aid in some situations.

In addition, LDCs face lower tariffs in important export markets under special WTO arrangements allowing for deviation from non-discrimination

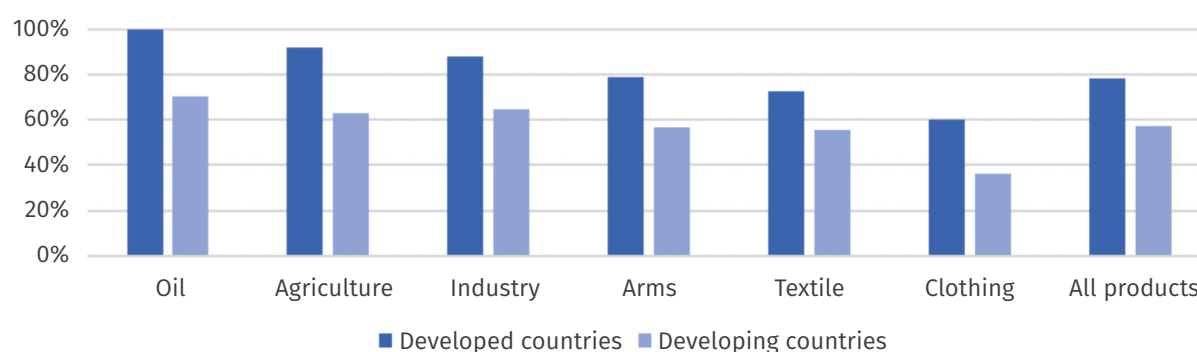
among trading partners. Most developed and developing countries have been granted duty-free, quota-free (DFQF) access to a significant number of LDC goods exports. In developed country markets, 92.0% of agricultural products exported from least developed countries are duty-free, and 62.9% are duty-free as imports to developing countries (Figure 4). Both averages are more significant than the respective shares of all exported products exempt from tariffs by developed and developing countries. The particularly beneficial terms of market access in developed countries affect many exports; in 2021, 37.1% of LDC agricultural exports went to developed market economies.²¹ Such preferential terms of market access have been shown to boost LDCs exporting in general and agricultural exports in particular.²²

Alongside these arrangements on WTO rules and market access, the WTO's trade-related technical assistance (TRTA) initiatives generally aim to help countries to participate effectively in the Organization, implement their obligations, be capable of defending their rights under WTO agreements and negotiate effectively for their interests. Many of these programmes target LDC beneficiaries, in 2018, 38 of the 116 active references centres that provide WTO-related information were located in LDCs and of the TRTA activities on agriculture carried out in 2018, 26% of participants came from LDCs.²³

Also, with the involvement of other organisations, the World Trade Organization also assists countries with streamlining and harmonising import and export procedures through trade facilitation schemes. However, most LDCs are signatories to the WTO Trade Facilitation Agreement (TFA), the TFA outlines provisions on expedited trade, cooperation between customs agencies, and technical assistance and capacity building.²⁴ Least developed countries, particularly, receive support on TFA implementation through the WTO's Trade Facilitation Agreement Facility.

In addition to the WTO, other partner organisations providing TRTA and capacity building include UN bodies agencies such as the Food and Agriculture Organization of the United Nations (FAO), United Nations Economic Commission for Europe (UNECE), United Nations Industrial Development Organization (UNIDO), United Nations Conference for Trade and Development (UNCTAD), and the World Intellectual Property Organization (WIPO), as well as the International Trade Centre (ITC), a joint agency of the WTO and UN. Also, significant international cooperation on Aid for Trade (AFT) targeting LDCs occurs through the Enhanced Integrated Framework for Trade-Related Assistance for the Least Developed Countries (EIF). Besides, cooperation among international organisations, donors, the private sector and

Figure 4. Average shares of duty-free tariff lines for LDC exports by destination markets, 2020



Source: **ITC, UNCTAD & WTO.** SDG Trade Monitor. Geneva. Cited 27 September 2022. <https://sdgtrade.org>

other partners through the Standards and Trade Development Facility (STDF) focuses on topics related to agriculture trade like food safety, plant and animal health, and cross-cutting SPS, with a scope that includes but extends beyond the LDCs.

Domestic factors and productive capacities

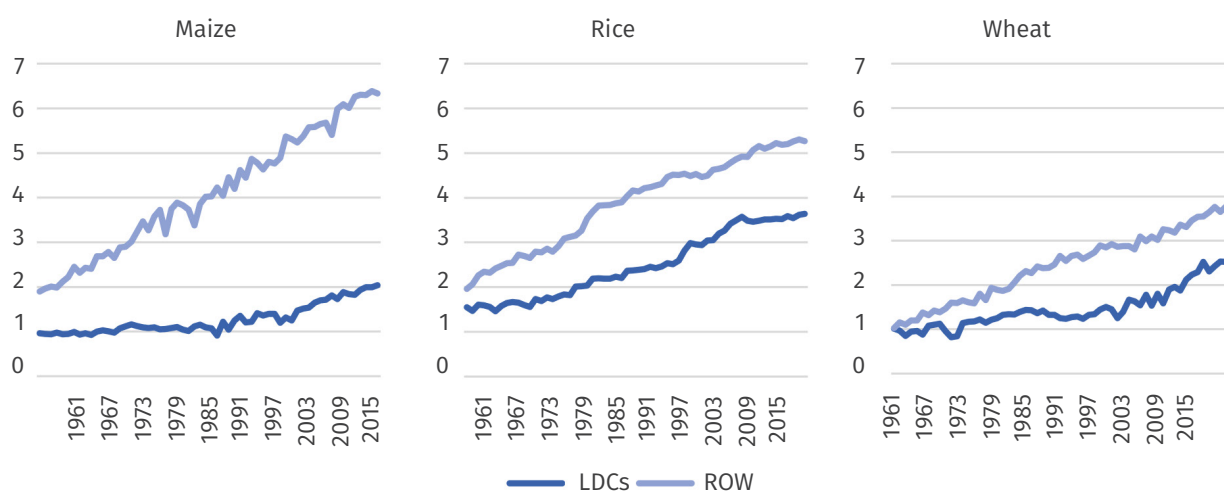
Improving agricultural exporting is still constrained by insufficient investment in improving on-farm productivity and strengthening support and connectivity in the business environment in which they operate since infrastructure gaps exacerbate the disadvantageous geography of many LDCs.

Insufficient investment in infrastructure, technology and research, and supply chains holds back LDC agriculture.²⁵ Furthermore, gross fixed capital formation in LDC agricultural sectors is low and has seen little increase in most countries in recent decades.²⁶ Increased investment by farmers in irrigation systems, improved inputs, equipment, and mechanisation would help to increase productivity and the value of their output.

Low levels of on-farm investment have depressed the productivity of LDC agriculture, hindering farmers' income growth and limiting export competitiveness. Labour productivity is below that of the rest of the world and growing more slowly.²⁷ Moreover, productivity is much lower in least-developed countries compared to developing and developed countries. For example, the growth in yields of globally important grains grown in LDCs has not kept up with improvements in the rest of the world (Figure 5). In 2020, maize production per hectare harvested in the rest of the world was 3.1 times more than those in LDCs. Rice and wheat yields in the rest of the world were 1.4 and 1.5 times higher than those of LDCs, respectively. Lower-income smallholders in developing countries tend to have low investments and profits. In addition, investment per hectare tends to be lower on smaller farms run by poorer farmers, which depresses their productivity and incomes.²⁸

Beyond the farm gate, exports from LDCs are often constrained by factors in their immediate environment, such as issues with quality management

Figure 5. Yields (tonnes per hectare) of selected grains in LDCs and the rest of the world, 1961-2020



Source: **FAO**. FAOSTAT. Geneva. Cited 27 September 2022. <https://www.fao.org/faostat>

systems and connectivity. The increasing application of non-tariff measures to agricultural trade and the expectations of buyers that their suppliers will comply with voluntary standards increase the need for effective quality management. Also, weak infrastructure and logistics services further hinder trade and the growth of agricultural activities in LDCs. Reliable storage facilities, good chain networks, efficient transportation systems, stable power supply, and communications infrastructure are all needed to support trade and diversification into higher value-added agri-food activities.

Underdeveloped infrastructure exacerbates the disadvantageous geography that holds back many least-developed countries from greater engagement in international trade. Moreover, most LDCs are a distance from major markets, vulnerable to natural disasters, and exposure to environmental degradation and climate risks, affect the productive capacities and trading potential of agricultural products with the rest of the world. Particularly disadvantaged are the 17 LDCs that are landlocked and seven that are small island developing states (SIDS). Countries in both categories face greater challenges in exporting their agricultural products because of the higher costs of transporting goods over land or from remote islands in smaller quantities.

External barriers to exporting

Tariffs and quotas on LDC agricultural exports tend to be low. Still, the more significant is the effect of non-tariff measures, a broad range of policy measures other than ordinary customs tariffs that affect trade. These include measures put in place to protect public health and the environment. In addition, these non-tariff measures (NTMs) can foster trade by building trust through labelling and packaging requirements.²⁹ However, even where NTMs are implemented for legitimate policy purposes and applied evenly to all imports into a country, they can pose additional challenges for LDCs because of their weaker capacities in meeting technical and other standards. Indeed,

the competitiveness challenges outlined above (regarding issues such as quality management and connectivity) also make it harder for exporters to comply with market access rules.

The most important aspect of trade in agricultural goods are the Sanitary and Phytosanitary (SPS) and Technical Barriers to Trade (TBT) measures. The SPS measures are concerned with rules for food safety and animal and plant health standards, while the TBT deals with the technical characteristics of products, their labelling and packaging, traceability, and related conformity assessment and certification. Like the NTMs, more generally, the use of these measures has been increasing. However, 191 TBT measures on agricultural products were enacted in 1995. Also following the entry into force of the Agreement on Agriculture, 1,265 measures were implemented in 2021, according to official notifications. The number of SPS measures implemented per year similarly increased from 365 in 1995 to 2,584 in 2021.³⁰

Developing countries are strongly affected by these kinds of non-tariff measures. SPS and TBT requirements have been estimated to have a larger effect on trade than other NTMs, making agriculture one of the sectors most affected by non-tariff measures (along with some labour-intensive manufacturing sectors such as clothing and textiles).³¹ Furthermore, it has been estimated that low-income countries generally face a 5% average tariff for agricultural exports, considering the impending trade effects of NTMs on these goods reveals that they effectively face a 27% tariff rate.³²

Other countries' domestic support provided to agriculture can also negatively affect the performance of LDC exports by depressing global prices and distorting competition. However, other forms of support for the sector remain an issue for LDCs. LDCs and other developing countries regularly raise concerns about the distortionary effects of support programmes in international trade on products including rice, cotton and milk, among others.



Picture 4: photo by ©iStock/ Marco VDM. The backbone of international trade. 2019

The overall scale of these supports is significant; net support to individual producers averaged almost USD446 billion over 2013-18.³³ Nevertheless, least-developed countries are not capable of providing significant support of their own, and are more seriously affected by agricultural subsidies in the rest of the world because of their relatively greater involvement in the trade of affected products.

STRATEGIES FOR AGRICULTURE EXPORTING AND DEVELOPMENT

The importance of agriculture to LDCs and the need to address issues in trade are recognised in the *Doha Programme of Action for the Least Developed Countries for the Decade 2022-2031* (DPoA), adopted in March 2022 and endorsed by the General Assembly in April. It calls for increased financial and technical support to LDCs regarding the sustainable development of agriculture. On

trade, the DPoA targets corrected distortions to agricultural trade, including reduced support and protection for these products.

Strategies for addressing the underperformance of LDC agricultural exports and realising the potential for the sector to contribute to sustainable development require further work. For example, multilateral discussions, regional trade agreements, increased development assistance flows, and cooperation are necessary to improve quality management and reduce negative environmental impacts. These areas are discussed further below, along with the unique needs of LDC graduates.

Multilateral trade and regional trade agreements

The challenges in the international trading system most affecting LDC agrifood export opportunities, for example, on market access and domestic

support, will need to be addressed through multilateral action. However, even without significant progress on these issues, international cooperation through multilateral fora on more modest goals can also facilitate exporting. For example, the regulatory compliance costs can be lowered by cooperating on harmonisation and pursuing convergence to international standards in support of exporters’ market diversification. The WTO’s Committee on Agriculture’s work programme on NFIDCs and LDCs provides an opportunity for discussing many of these concerns in terms of their impacts on these countries.

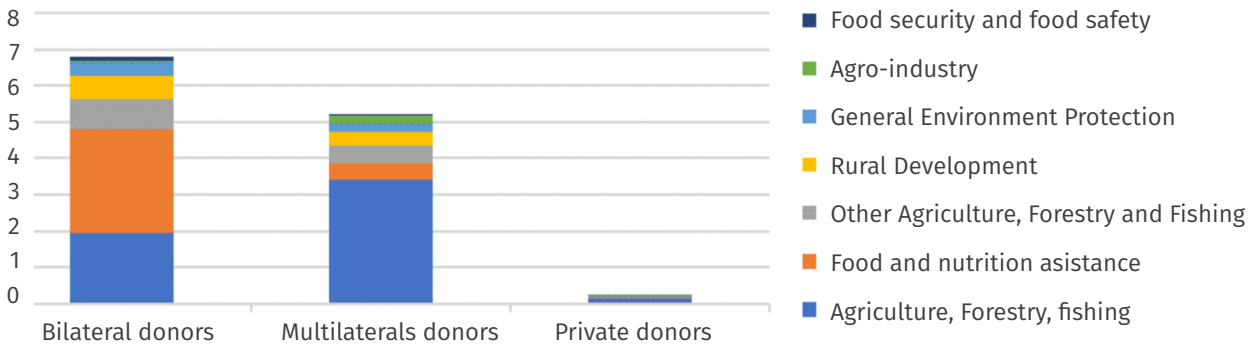
While RTAs cannot address the most important barriers to LDC exporting, the least developed countries still benefit from participating in regional trade agreements that improve or simplify market access and facilitate investment flows. In addition, these agreements can help to drive export diversification where they improve access to new markets and can improve food security for LDCs, which have actively sought out these opportunities; in total, 40 LDCs are members of 111 RTAs.³⁴

Many of these agreements include special treatment for least developed country members through additional tariff concessions for imports from LDCs or longer timelines for LDCs to implement their own tariff concessions. For example,

some members of the South Asian Free Trade Area (SAFTA) have shorter sensitive lists for LDC trading partners and most Asia-Pacific Trade Agreement (APTA) members have made special concessions for LDCs.³⁵ RTAs can also incorporate measures promoting environmental sustainability and treatment of regulatory harmonisation objectives.³⁶ A number of these agreements also address issues on food security and nutrition that are of particular concern to the least developed countries,³⁷ as well as establishing rules on the application of NTMs, export restrictions and subsidies, and agricultural safeguards.³⁸

Of particular note is the African Continental Free Trade Area (AfCFTA), as 31 LDCs (all African LDCs except Eritrea) are signatories to the Agreement. The AfCFTA is intended to foster deeper trade ties within the continent. This would enhance food security and open new export opportunities for African LDCs. However, trade in many essential products has not been fully liberalised or will be liberalised over longer time periods. In addition, realising the potential of the AfCFTA and other agreements will still require enhanced productive capacities in LDCs. Implementation has been delayed, with a key negotiating deadline missed in June 2021. Although the Agreement entered into force in May 2019, trade under AfCFTA rules requires all legal arrangements to be in place first.

Figure 6. Development flows committed to LDC agriculture in USD billions, 2020



Source: FAO. FAOSTAT. Geneva. Cited 27 September 2022. <https://www.fao.org/faostat>



Picture 5: photo by ©iStock/ Francesco Scatena. Hazard Analysis and Critical Control Points - Food Safety and Quality Control in food industry. 2022

Assistance targeting sustainable agriculture

Increased development assistance can make LDC agriculture more competitive and sustainable. As a group, the traditional donor countries of the OECD's Development Assistance Committee (DAC) have not reached SDG target 17.2 on providing official development assistance (ODA) of 0.15% to 0.2% of gross national income (GNI) to least developed countries. While a few countries have met or exceeded their commitments, ODA from developed countries to LDCs in 2020 averaged just 0.06% of GNI.

Total development flows to LDCs for agriculture and related areas, in particular, totalled USD 12.3 billion in 2020 (Figure 6). Most of this comes from bilateral (USD 6.8 billion) and multilateral (USD 5.3 billion) donors and is concentrated in projects related to the sector's economic development, and food and nutrition assistance. Moreover, the

aid commitment to these sectors in LDCs has generally been rising in real terms over past decades, increasing by an average 2.9% per year over 1990-2020, roughly in line with the growth of agriculture aid to all recipients over this period. A significant share of ODA to LDCs is thus directed toward agriculture.

Additional development assistance targeting sustainable agriculture could have a significant impact through capacity building targeting farms, firms, and support institutions, as well as targeted grants. In addition, improved access to inputs and equipment for farmers, trainings on improved water and soil resources management, quality management support by key institutions, support for agricultural research, and assistance in connecting producers and small agribusinesses to high-potential markets are all needed. Regardless, support for agricultural exporting and development assistance should be designed in alignment

with national development planning and with inputs from a broad base of stakeholders familiar with the context.

Trade-related technical assistance programmes can also better support sustainability, particularly by building LDC capacities on the environmental assessment of trade policies and agreements. There is also a particular need for technical co-operation and trade facilitation mechanisms to assist exporters with limited capacities in complying with non-tariff measures. Working towards regulatory harmonisation within LDCs would complement these initiatives in strengthening the position of LDCs in international trade.

Quality, voluntary standards and traceability

Quality improvement through domestic reform and with the support of development partners is essential in improving LDC compliance with NTMs and enhancing sustainability. Support for strengthened quality management systems may occur through capacity building for standards organisations, laboratories, and other actors, as well as assisting in connecting these institutions to domestic and international partners.

Relatedly, there is a need to prepare better LDC agricultural sectors to comply with voluntary sustainability standards – including well-known certifications applied to consumer goods, such as Fairtrade International, Rainforest Alliance and the Forest Stewardship Council – which certify that products meet requirements pertaining to the economic, social and/or environmental dimensions of sustainability. They are increasingly required by buyers in agricultural value chains and can encourage the adoption of sustainable farming practices. ITC's *Standards Map* lists 165 international voluntary standards relevant to agriculture trade, of which 13.9% include environmental aspects, 60.6% include social aspects, 54.5% include management and ethical aspects, and 13.3% include quality aspects.³⁹

Following and being certified as complying with sustainability standards offers a number of benefits to farmers. Implementing these standards can help to improve production and limit environmental degradation. For example, their greatest benefits come from opening new markets to exports and the potential to sell at higher and more stable prices.⁴⁰ However, many farmers are unable to benefit from complying with these standards. The costs associated with certification, a lack of information on potentially beneficial certifications, weak connections to buyers, and the limited capacities of support institutions all make certification more challenging in LDCs. Smallholders in these countries are particularly challenged by their inability to benefit from economies of scale and difficulties in accessing finance to make the investments needed to comply with voluntary standards.⁴¹

Technical assistance and the creation of tailored resources can help to lower the costs of finding information on high-potential certifications, while financial assistance programmes can help producers and firms in making the investments needed to comply with standards that bolster their export potential. More broadly, efforts are also needed on the identification of gaps through multi-stakeholder dialogues; regulatory harmonisation and mutual recognition to reduce compliance costs; and support for the responsible management of agricultural supply chains, including monitoring and due diligence.⁴² International cooperation and dialogue can support this. While there is no agreement on how the effects of voluntary standards on trade should be addressed at the WTO, the United Nations Forum on Sustainability Standards (UNFSS) provides a platform for dialogue on standards, as well as information and analysis.

There may also be opportunities to increase the value of many LDC export products through geographical indications (GIs), which confirm the products' origin and other qualities associated with that production location. These are not

widely used in the least developed countries at present. According to WIPO, only four LDCs – Bangladesh, Cambodia, Lao People’s Democratic Republic, and Mozambique – had GIs in force in 2022.⁴³ Effective GI systems depend on traceability and can be leveraged to develop branding linked to location and other product characteristics, such as a unique flavour or tradition in the production means. Development assistance programmes can help establish and manage these systems, where they offer the potential to increase export values and incentives for investing in improved quality.

Assistance following LDC graduation

Duty and quota-free market access granted to LDCs under schemes such as, for example, the EU’s Everything but Arms scheme is often tied to their status as the least developed countries. When a country graduates from LDC status, such preferential market access may be lost, thus impeding agricultural export performance. Therefore, improved assistance for LDCs should therefore not come at the expense of supporting the countries’ transition following their graduation from this category. This is particularly important as the graduation of several countries approaches in the near future. In the past ten years, just three countries have had graduates with LDC status, but seven are expected to graduate in the next four years.

While the impact of graduation on market access rules depends on a country’s export structure, trade in some products is strongly affected by the loss of preferences. According to the partial equilibrium model estimates, LDC graduation is associated with an average effective tariff increase of 9.5% for sugars and confectionary, 5.7% for cereals, and 2.9% for dairy products.⁴⁴ Graduating LDCs stand to benefit from capacity-building and awareness-raising programmes targeting the public and private sectors in preparation for graduation, the temporary continuation of some support programmes, and assistance in negotiating the terms of post-graduation treatment with trading partners.

CONCLUSION

Sustainable agricultural development can transform growth, well-being, and resilience in LDCs. Exporting, in turn, can play an important role in realising the sector’s full potential in these countries. The underperformance of the least developed countries in agricultural trade results from domestic barriers to competitiveness and external factors holding back their exports. A range of assistance and support programmes work to address these issues, though more can be done through multilateral discussions and international cooperation. Such assistance and reform processes need national ownership, alignment with national development priorities, and coordination among development partners.

NOTES

- 1 The list of least developed countries is reviewed every three years by the Committee for Development Policy, a subsidiary body of the United Nations Economic and Social Council, which makes recommendations on inclusion and graduation. The evaluation criteria are based on income, human assets, and economic and environmental vulnerability criteria.
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About GTP

The Geneva Trade Platform is a not profit organization based within the Geneva Graduate Institute's Centre for trade and Economic Integration.

We are a hub, designed to bring people, ideas, and resources together to address global challenges through better informed, better supported and more inclusive trade policy.

We rely on the support of donors and delivery partners to deliver needs driven, outcomes focused projects through our four pillars and across our themes.

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